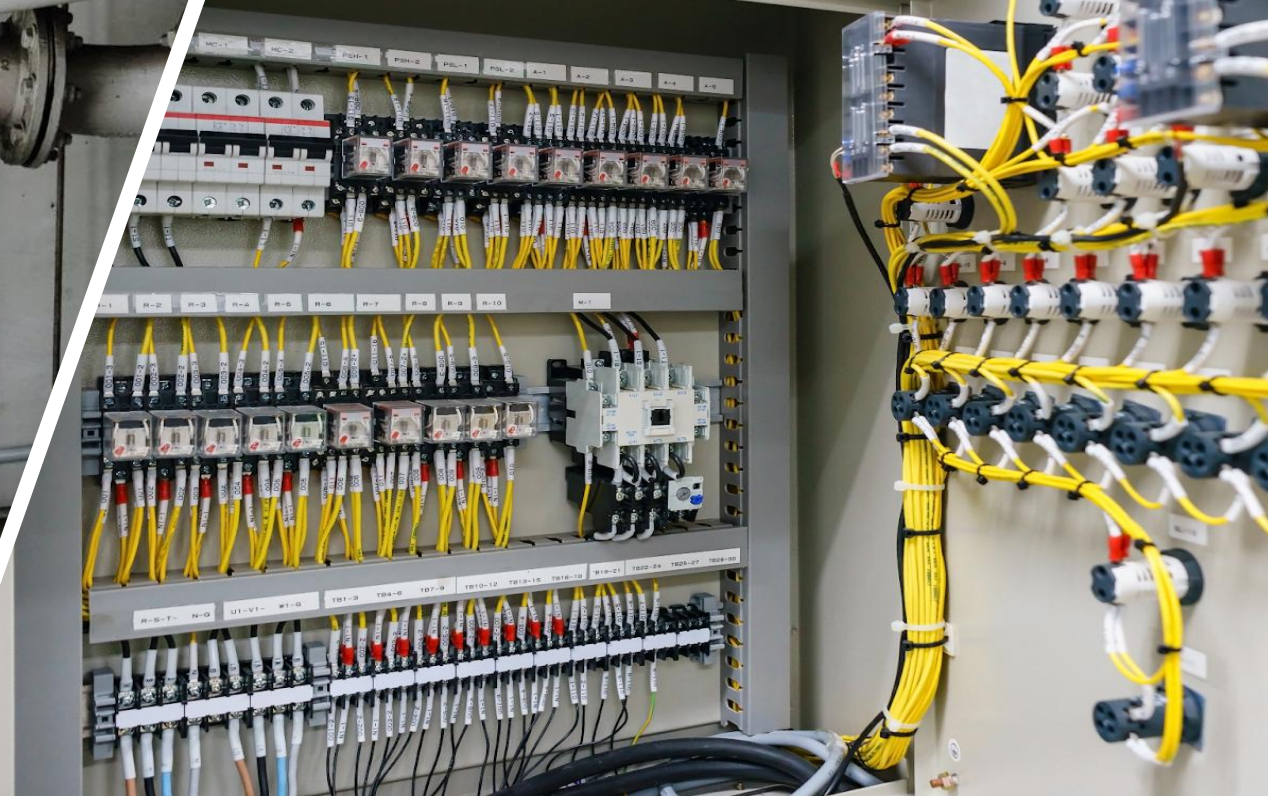




PROJECT ALPHA

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Selected Experiences



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EXECUTIVE SUMMARY

Compelling Story

- Full-service **Mechanical, Plumbing & Electrical (MP&E) contractor** serving industrial, commercial, residential, and data center end markets across the Southeast
- **50+ year operating history** with long-tenured leadership team (30-45+ year average)
- Revenue increase: **\$101.8M→\$168.2M** (2019-2022)
- EBITDA margin expansion: **17%** (2019-2022)
- Strong recurring revenue model: **78%** service, retrofit, and replacement work

Market Tailwinds

- **\$55B-\$65B** in new U.S. infrastructure projects announced
- **Average home age of 27-42 years** across key markets
- \$5.76M HVAC replacements expected by 2032
- Southern U.S. accounts for **53.6% of new home construction**
- +14.3% CAGR in demand driven by AI expansion
- **153% increase** in data center construction pipeline year over year

Platform Scalability

Strategic M&A

Highly fragmented ME&P markets allows opportunity for geographic expansion and market consolidation

Operational Centralization

Potential \$3M-\$4M in cost synergies improves efficiency and enables scalable integration of future growth

Organic Growth

Industrial reshoring and infrastructure investment create a long-term pipeline of large-scale projects and consistent demand

Project Alpha Overview

PROJECT ALPHA OVERVIEW

Mechanical, Plumbing, and Electrical

Mechanical

- HVAC installation & replacement
- Chillers, boilers, air handlers
- Ductwork & ventilation systems

Plumbing

- Water supply & drainage systems
- Commercial & industrial piping
- Fixtures & equipment installation

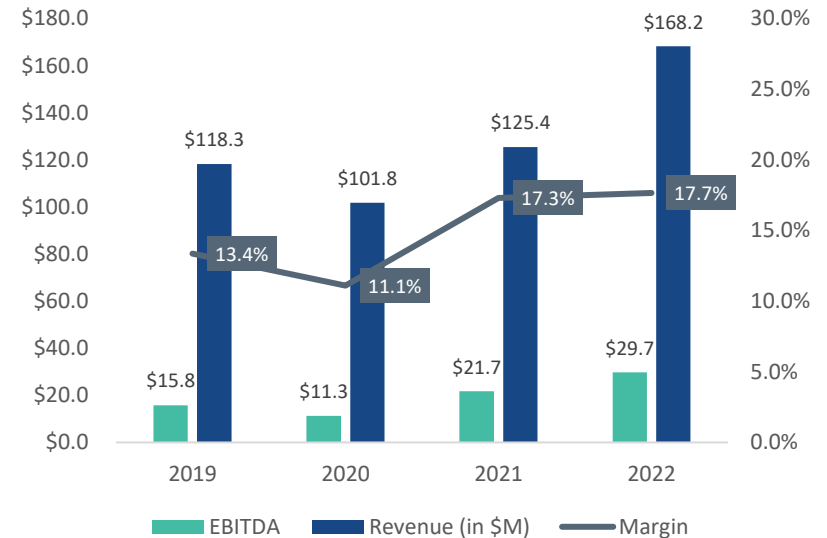
Electrical

- Power distribution systems
- Lighting & control
- Backup power & generators

Leadership Team

POSITION	YEARS WITH COMPANY
President	46
Vice President	44
Treasurer	39
Secretary	37
President	28

Key Metrics (millions)



Company Differentiators



Only entity in geography to provide commercials & industrial full-service MP&E

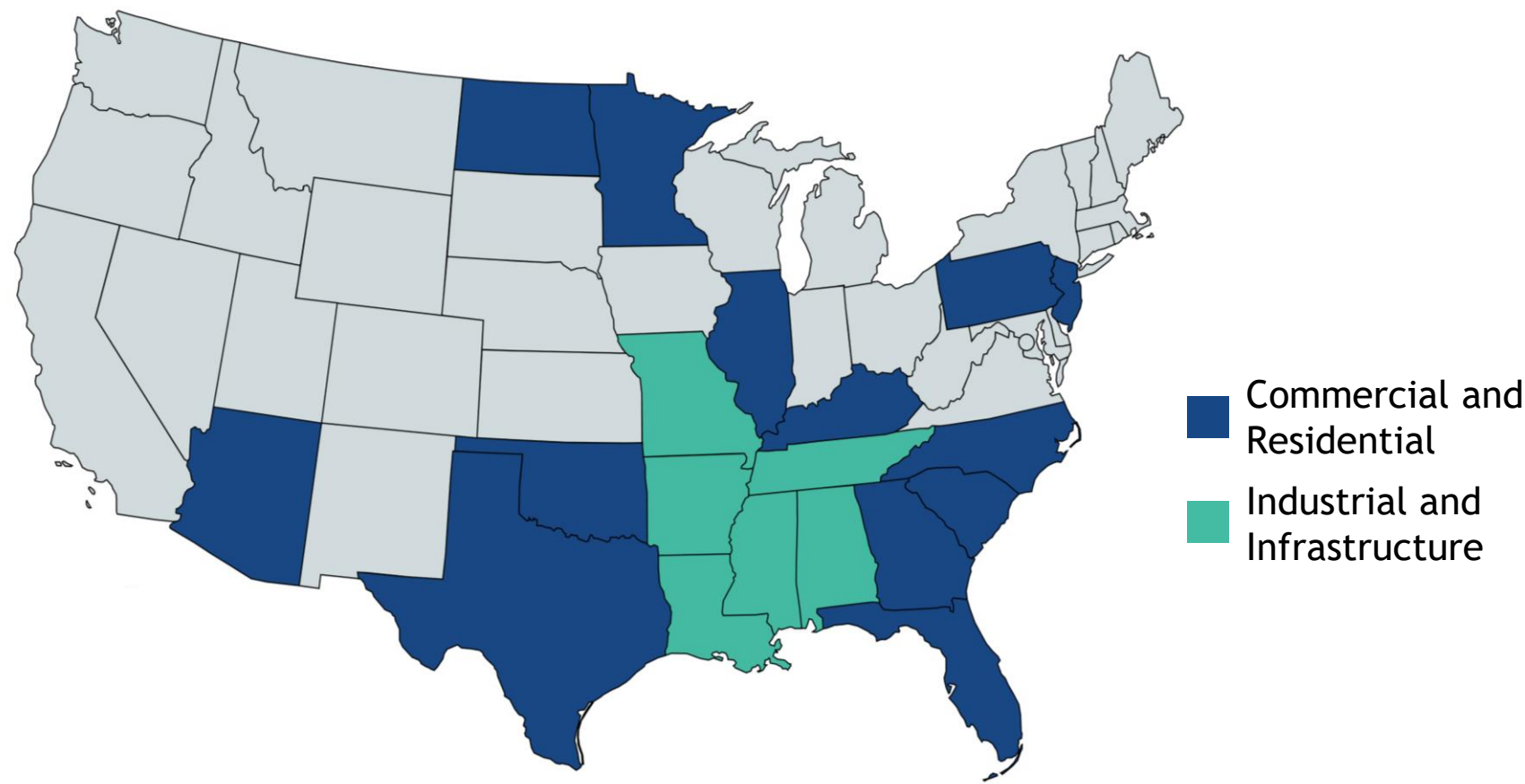


Cutting Edge BIM, PreFab, and in-house design-build capabilities



Owned by founding family with a 50+ year presence in the Southern Region and unparalleled brand identity

GEOGRAPHIC SCOPE



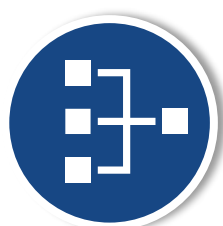
Industries Served



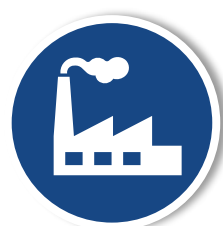
Healthcare



Education



Government



Manufacturing

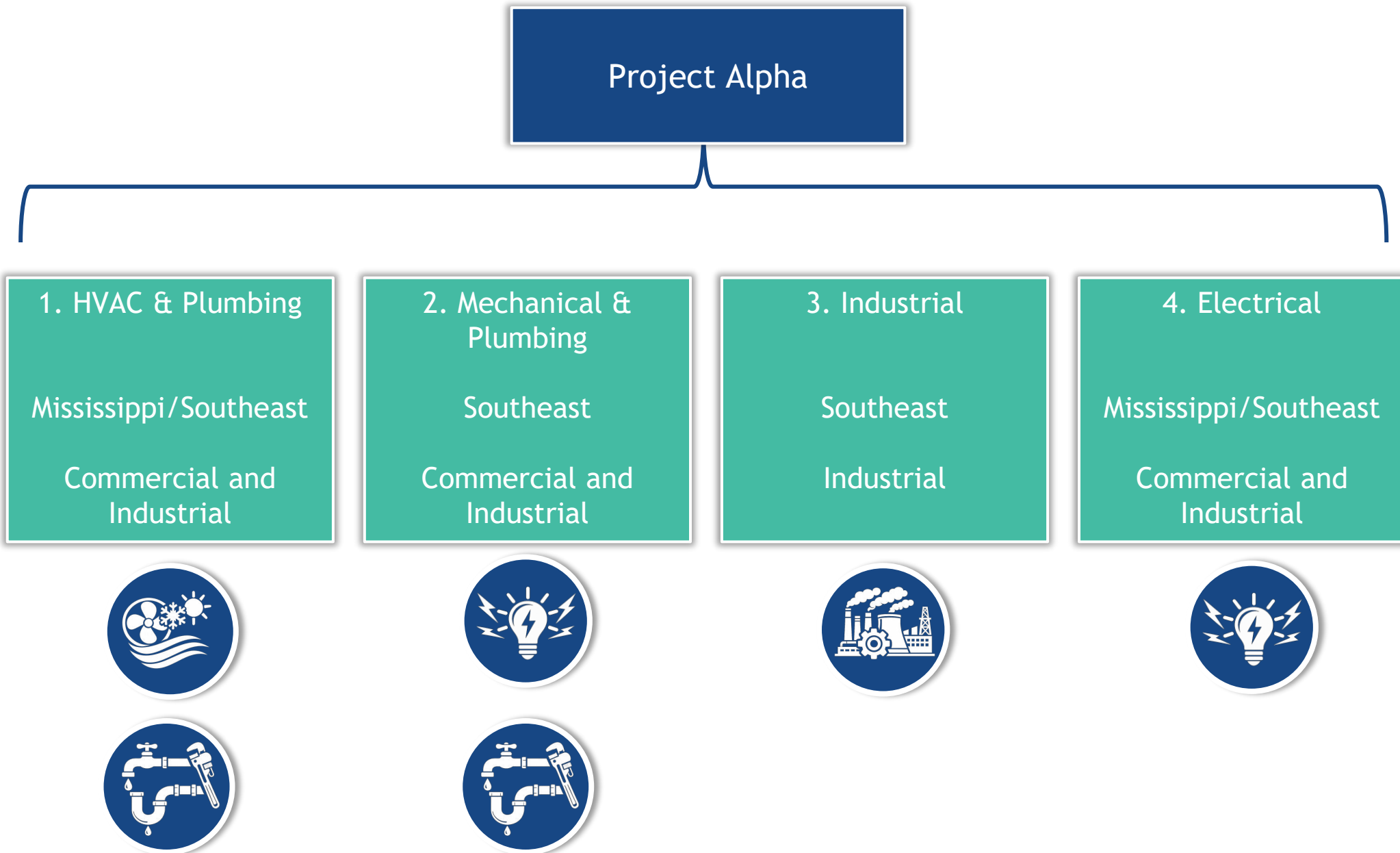


Hospitality



Data Centers

LEADERSHIP IN THE FOUR OPERATING DIVISIONS



1. HVAC AND PLUMBING



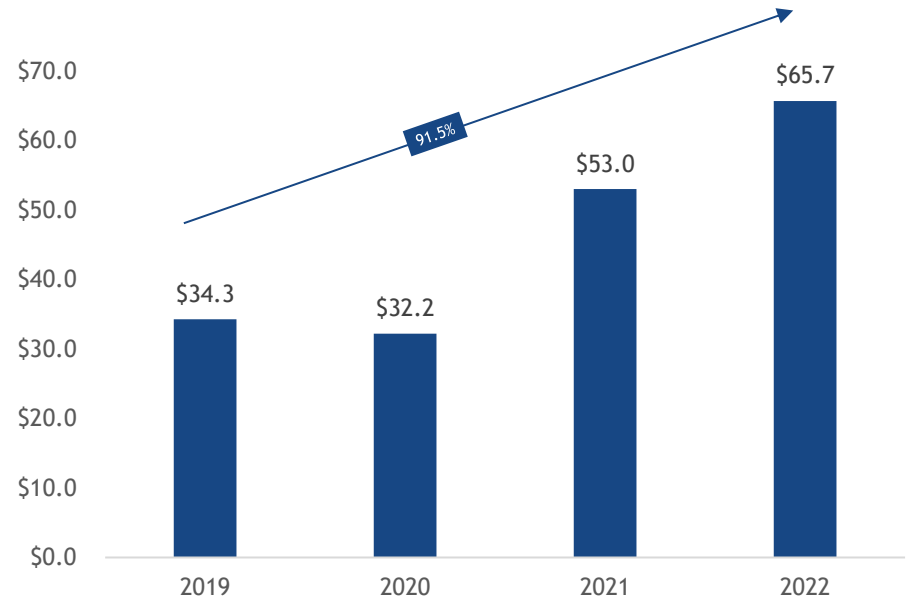
Employee Types

EMPLOYEE TYPE	# OF EMPLOYEES
Management	22
Skilled Labor	197
TOTAL OPERATIONS EMPLOYEES	219

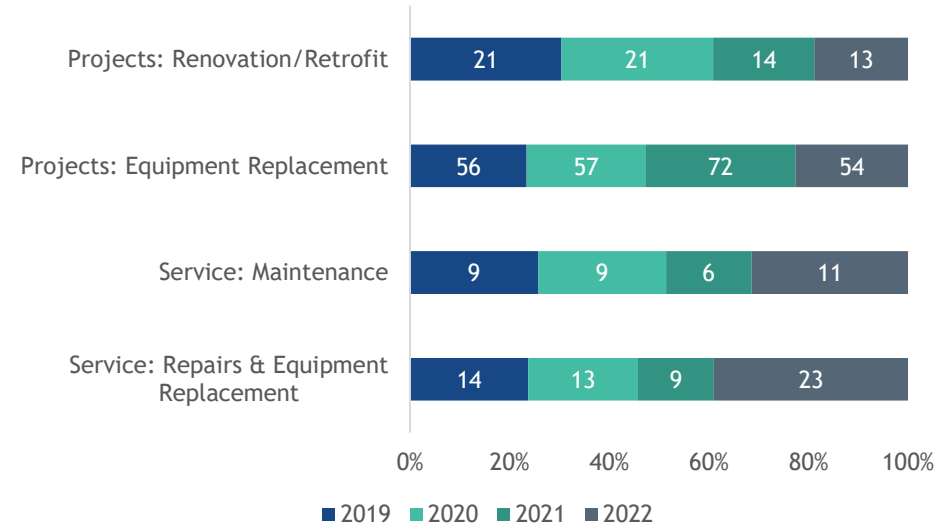
Leadership

POSITION	YEARS WITH COMPANY
President	39
General Manager	16
General Manager	15

Revenue (millions)

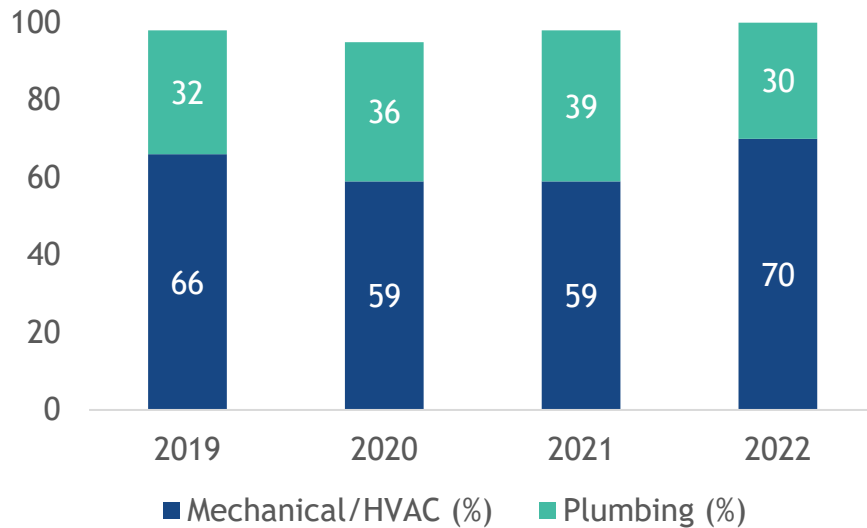


Revenue Breakdown (%)

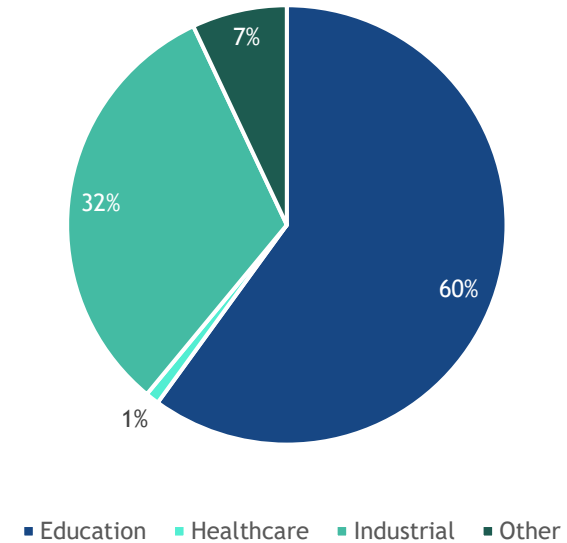


2. MECHANICAL AND PLUMBING

Revenue Diversification (%)



Segment Breakdown (%)



Recent Projects



Plumbing and Process Piping for Greenfield Tire Plant
\$14.3M

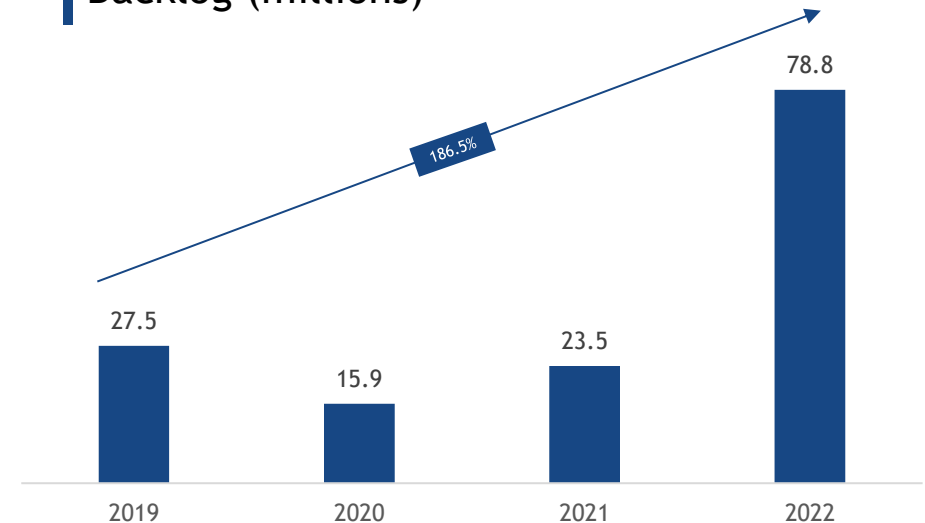


University of Mississippi Student Housing, Oxford, MS
\$7.0M



Volkswagen Media Center Chiller Addition, Chattanooga, TN
\$5.0M

Backlog (millions)



3. INDUSTRIAL

Key Services and Industries Served

Industrial Services

- Shutdowns & Turnarounds
- Capital Projects
- Maintenance & Repair
- Fabrication & Welding
- Process Piping

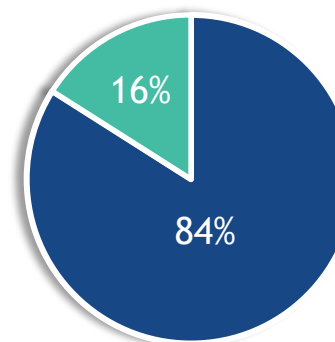
Industries Served

- Manufacturing
- Chemical Plants
- Power & Energy
- Oil & Gas
- Food & Beverage
- Pulp & Paper

Leadership

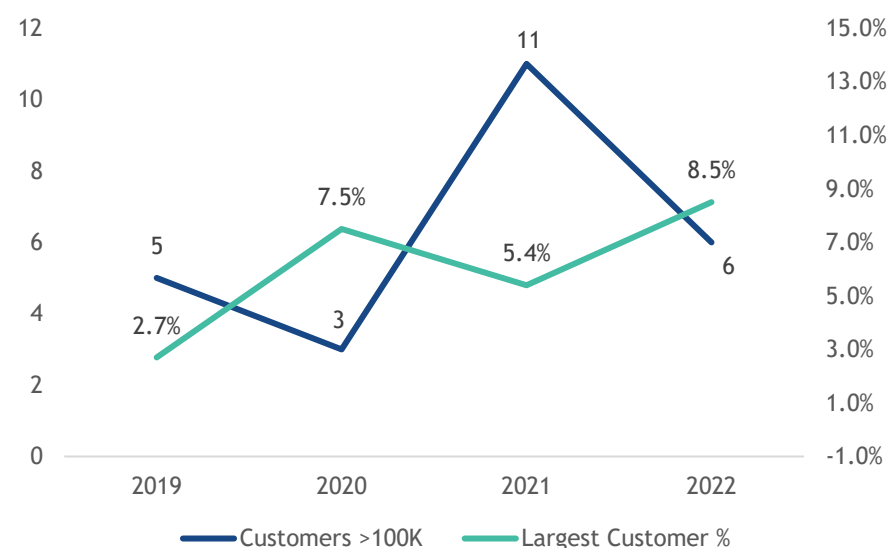
POSITION	YEARS WITH COMPANY
President	39
General Manager	4
Project Manager	5

Sales Type



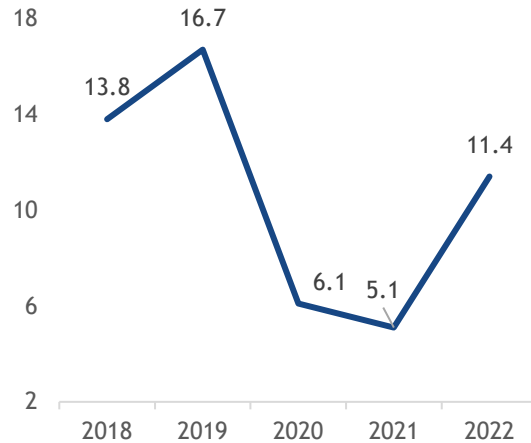
■ Direct-to-Owner ■ General Contractor

Largest Customer Percentage of Revenue

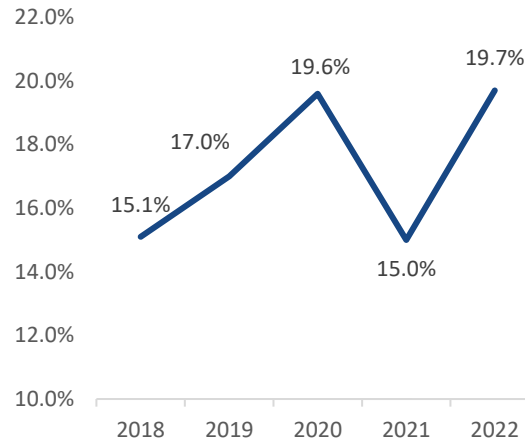


4. ELECTRICAL

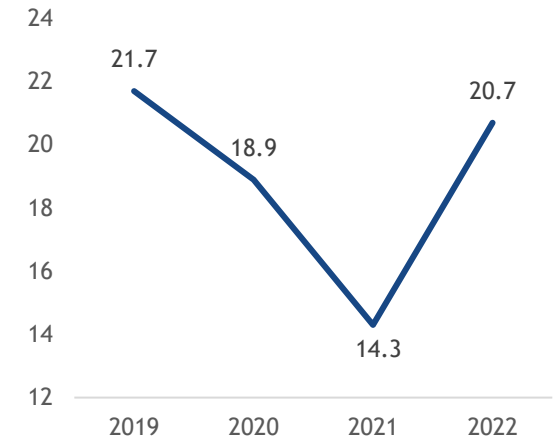
Revenue Backlog by Year (millions)



Gross Margin Backlog by Year



Revenue (millions)



Recent Projects



Entergy Data Center, Jackson, MS
\$2.8M

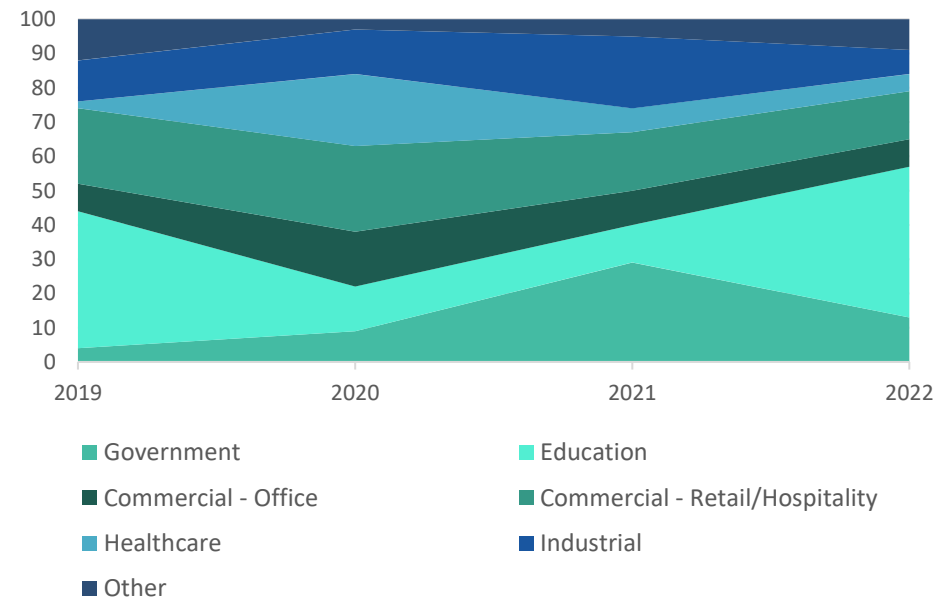


Island View Casino Beach Tower,
Gulfport, MS
\$4.8M



Lost Key Condominium, Perdido
Key, FL
\$1.9M

Revenue Segmentation



Industry Overview

MP&E Industry

Growth by the Numbers

Market growth
will accelerate at
a CAGR of
14.19%

\$34.40B
Incremental
Growth

13.85%
Growth for 2021

Key Trends



Government pushing **energy-efficient buildings**



Buildings upgrading old systems to **new HVAC, lighting, and water systems**



After COVID, more focus on **clean air** inside buildings

Key
Players



AECOM **Jacobs**

**COMFORT
SYSTEMS USA**



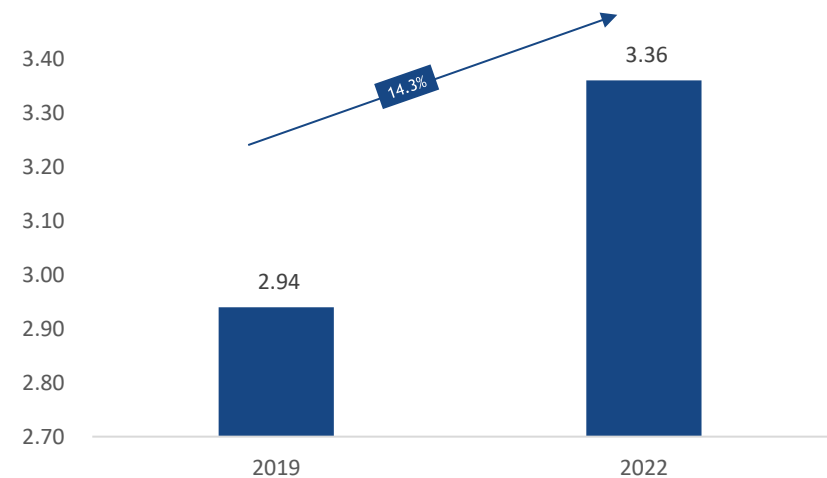
Fragmented:
market
dominated by 1-
5 major players

Consolidated:
market
dominated by 1-
5 major players



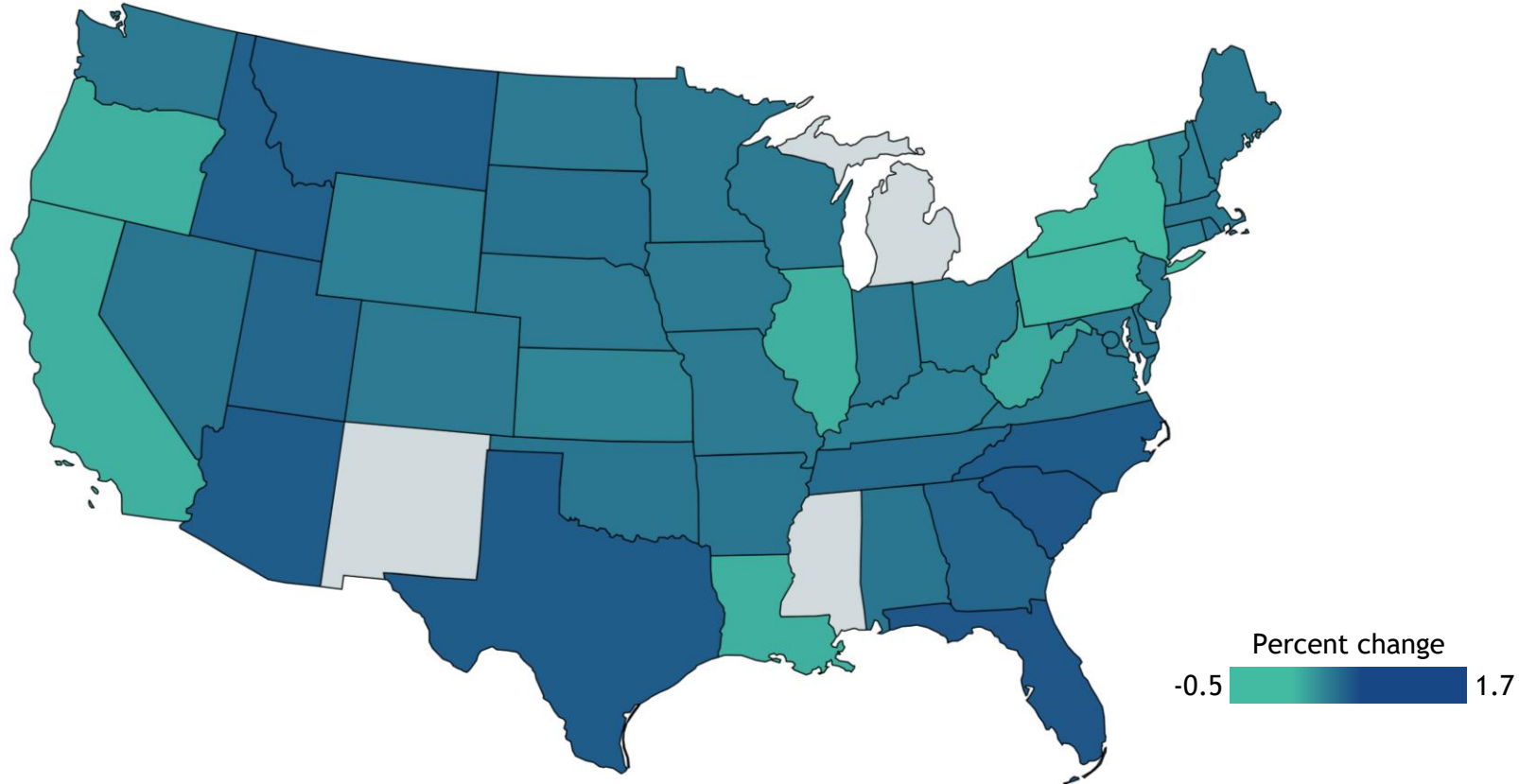
Global HVAC Services Market

Construction Worker Employment (million)

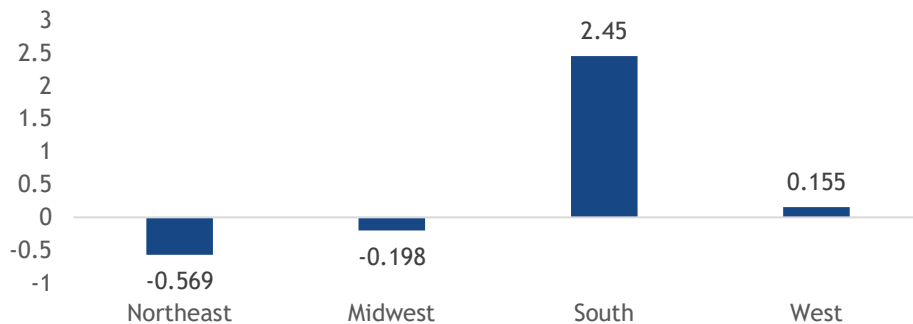


GENERAL INDUSTRY

Population Change in Major Cities By State



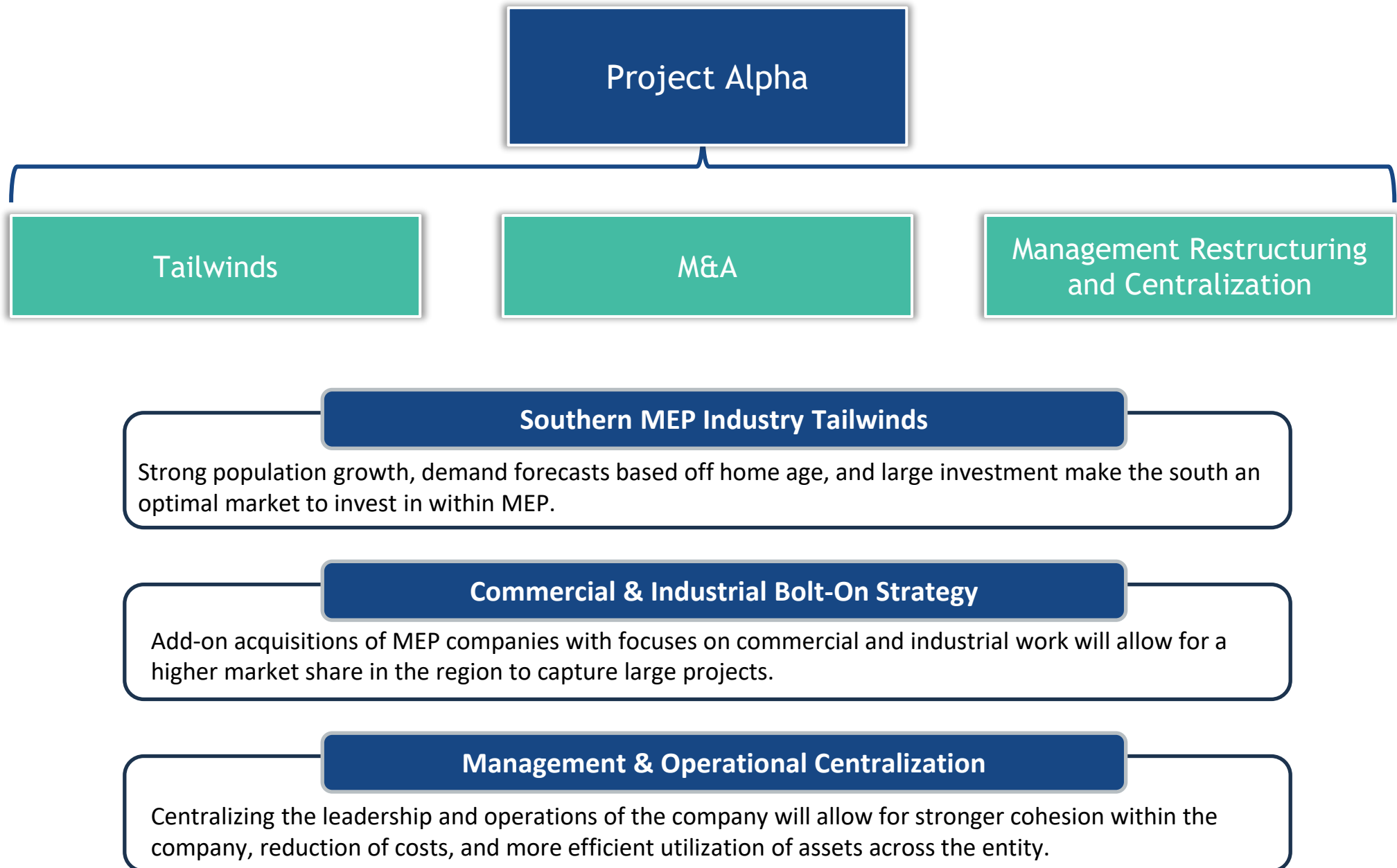
Change in Population by Region (2021-2022)
(millions)



Southern States in the Top 10 Highest Growing
States In The U.S.

Florida +3.3%
South Carolina +3.2%
North Carolina +2.5%
Tennessee +2.0%
Georgia +1.9%

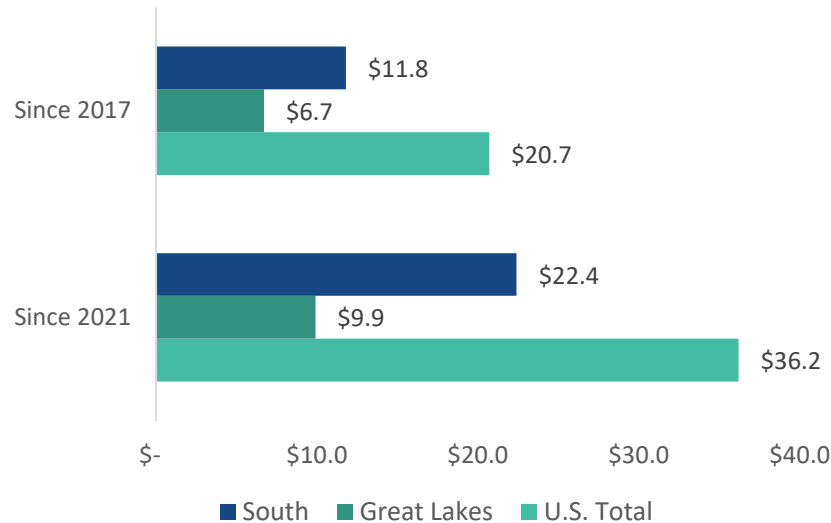
THESIS



Tailwinds

INDUSTRIAL TAILWINDS

Investment announced by automakers in U.S. (\$B)



Growth Drivers

“We are basically undergoing the single biggest industrial transformation, I would say, not to understate it, in the history of America,” “It’s x right now in this area.”

-Scott Keogh, CEO at Volkswagen

Private Infrastructure Investments

\$55B - \$65B

in New Project Announced in 2022



Tellurian - Driftwood LNG Plant
\$30.0B

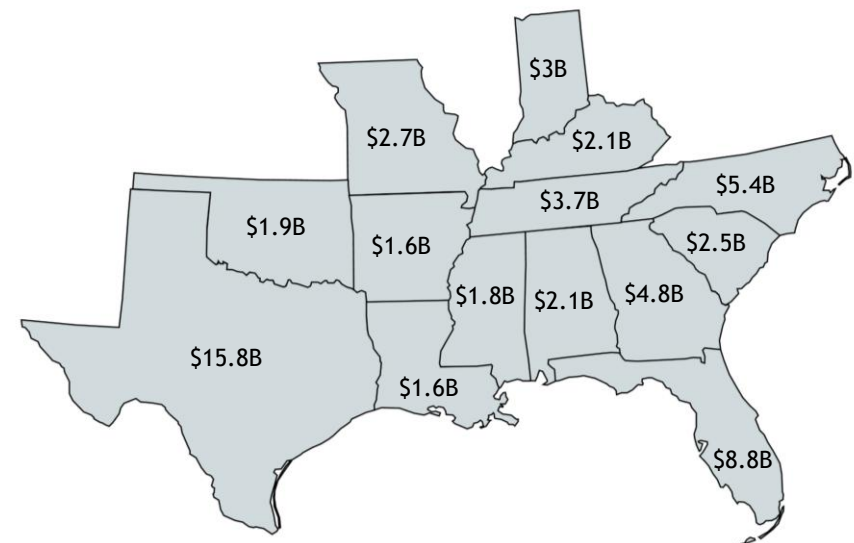


CoStar Group Campus Expansion
\$4.0B



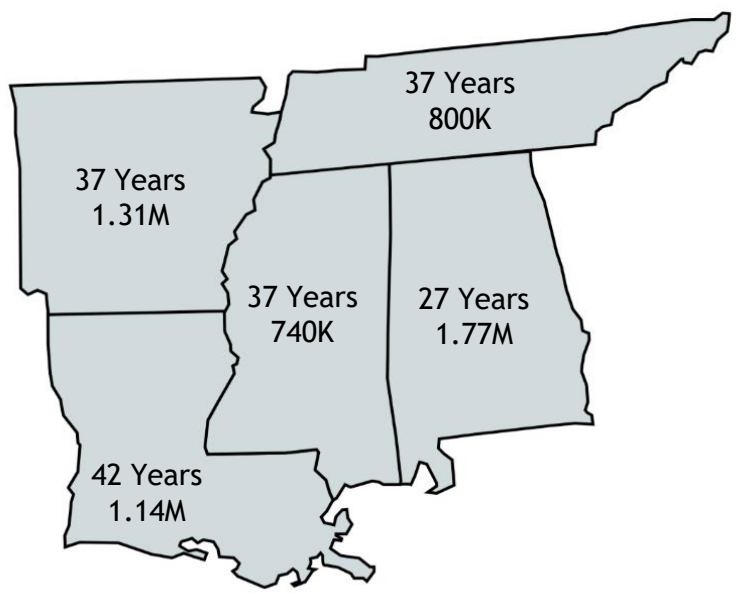
Ford Vehicle & Battery Plants Tennessee
\$11.4B

America Rescue Plan Infrastructure Allocations

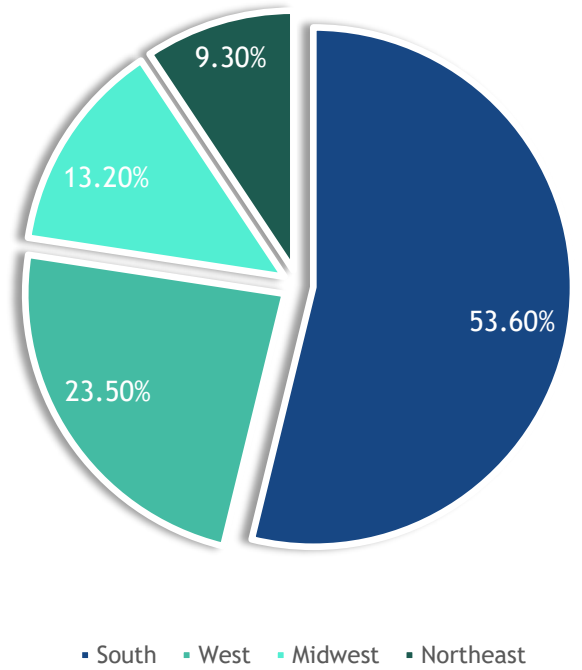


RESIDENTIAL TAILWINDS

Average Home Age & 10-Year HVAC Replacement Forecast



% Per Region of New Builds in 2022



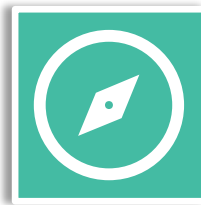
Demand Drivers



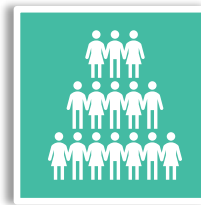
Housing Necessity
Warmer climate makes HVAC a priority



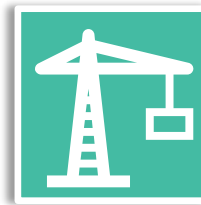
Large Replacement Volume
Millions of units nearing replacement



Southern Market Dominance
South leads new construction



Population Growth in Warm Climates
Migration increases cooling demand



New Construction Growth
New builds drive HVAC installs

DATA CENTERS

Growth

+14.3%
CAGR

3.4x
Demand for Phone
Data 2022-2027

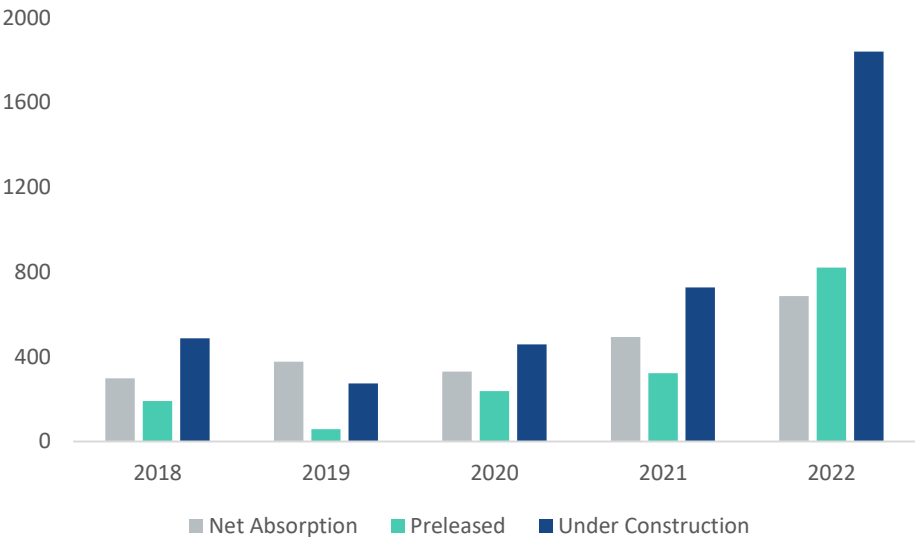
+39.1%
in consumption
2021

+39.9%
Power Demand
(MW)

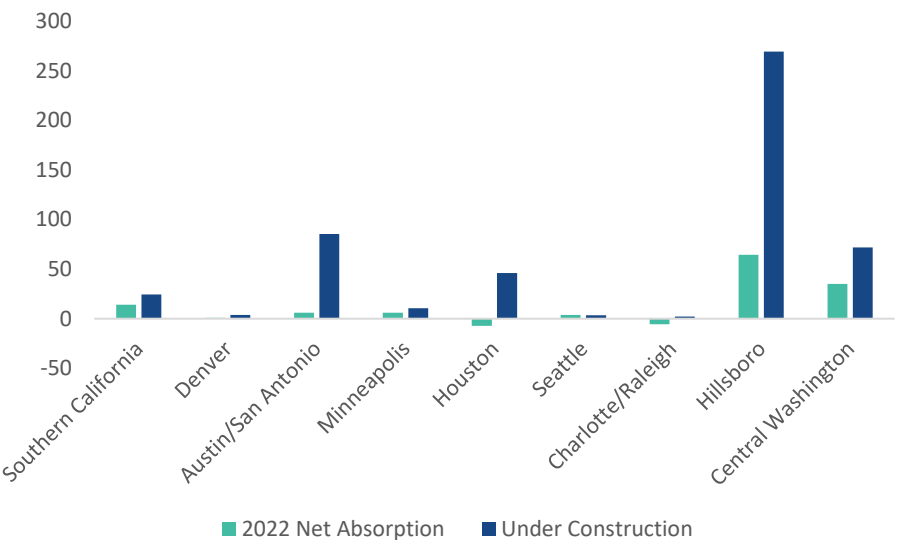
+153%
Construction
Pipeline

+14.5%
Average Asking
Rent

Data Center Demand by Year



Data Center Demand & Project by City



Key Trends



AI & Cloud Demand

- Explosive growth in AI workloads and hyperscale expansion driving sustained capacity needs



Power & Location Shift

- Development moving to power-available secondary markets as primary hubs face constraints

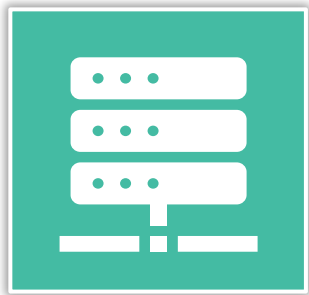


Rising Pricing & Barriers:

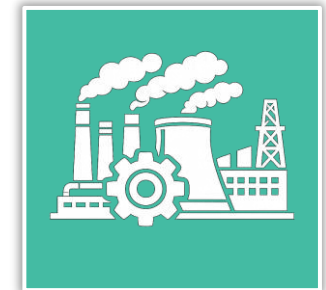
- Higher energy, land, and build costs tightening supply and supporting rent growth

Mergers and Acquisitions

THE GAP



Data Centers



Commercial
and
Industrials



**PROJECT
ALPHA**

As competitors move towards data centers, Project Alpha will focus on industrial sectors which is backed by good investment.

STRATEGIC M&A ACTIVITY

Population Growth	+2.45M in population growth 2021-2022 - Highest change in population across all regions
Infrastructure Investment	\$55B-65B in 2022 investment \$57.8B in government investment
Residential Demand	5.76M Homes Due for HVAC Renewal 900k New Build Permits Submitted 2022
Residential Demand	50+ Year Presence in the South - One of the largest ME&P presence in region

Optimal Target Characteristics



Specialization in **Industrial**, **Energy**, and **healthcare** projects



Expansion of **MEP**, **Advanced BIM**, and **Design-build** capabilities



Older ownership and **underperforming** businesses for management transition

Investment Criteria

Southern States

Preferably infrastructure & industrial but also open to residential

Controlled Investment

+\$1M
transaction size

+\$1M
Target Revenue

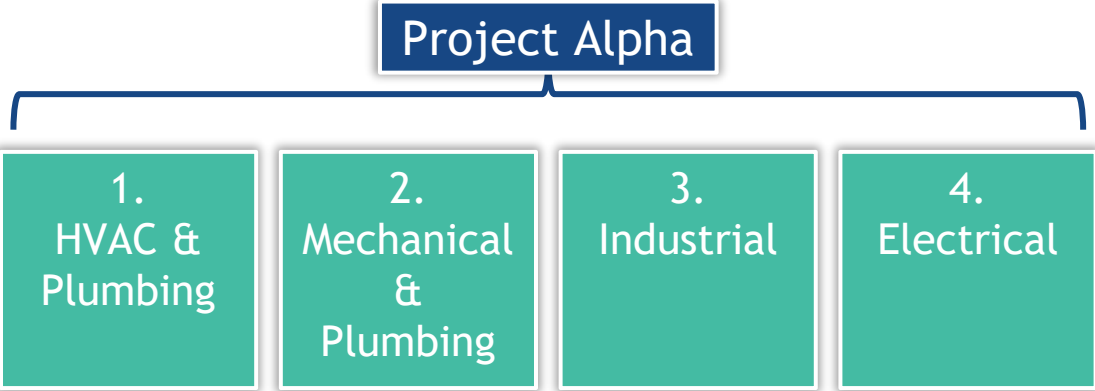
Potential Targets



Condensation

CONDENSATION

Current Structure



Separate Leadership
Duplicate decision-making

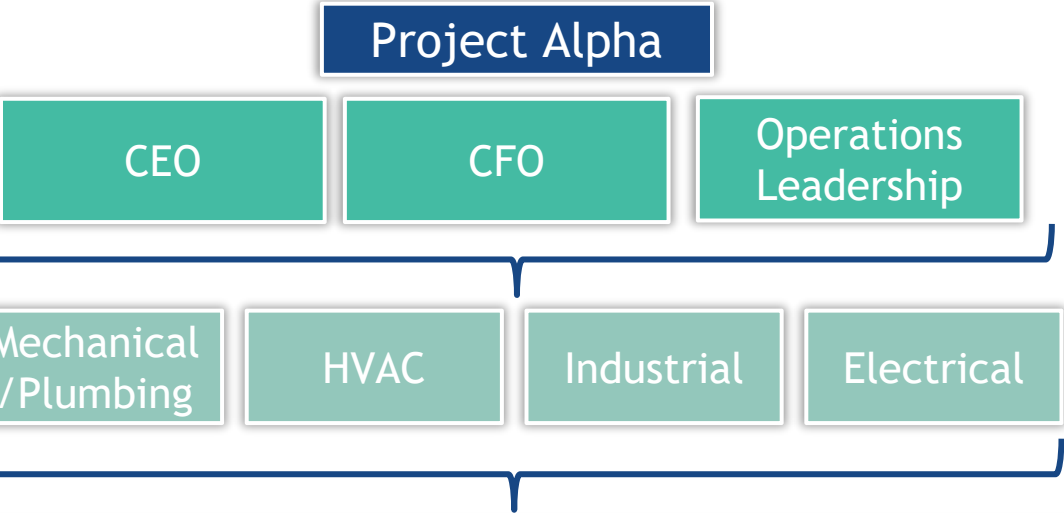


Separate Operations
Operational inefficiency



Separate Admin Support
Overhead Duplication

New Proposed Framework



Centralized Leadership
Clear decision-making

Shared Operations
Operational & resource efficiency

Centralized Admin Support
Reduced overhead

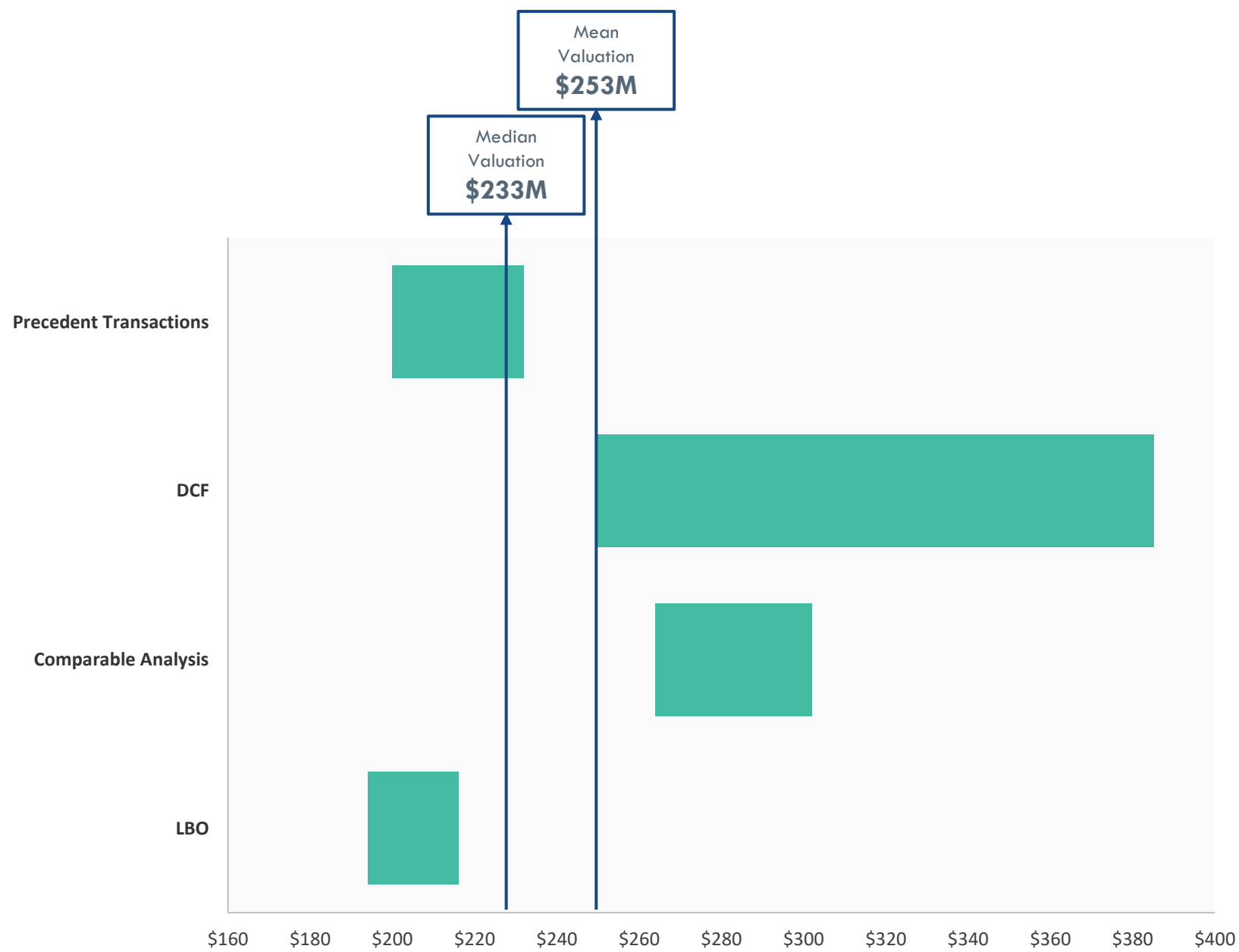
Platform Structure
Scalable growth

Through these adjustment we expect **\$3M-\$4M** in synergies

Shares:
Finance, HR, Procurement, Accounting, Business Development

Valuation & Transaction Overview

IMPLIED VALUATION OVERVIEW



DEAL STRUCTURE

Debt Trenches/Paydown

Debt Schedule					
Senior Debt Beginning Balance	\$110	\$81	\$52	\$24	--
Subordinate Debt Beginning Balance	55	55	55	55	55
Seller Note	27	27	27	27	27
Total Beginning Balance	\$192	\$162	\$134	\$105	\$82
Senior Debt Paydown	(\$29)	(\$29)	(\$28)	(\$24)	--
Subordinate Debt Paydown	--	--	--	--	(27)
Total Scheduled Debt Paydown	(\$29)	(\$29)	(\$28)	(\$24)	(\$27)
Senior Debt Ending Balance	\$81	\$52	\$24	--	--
Subordinate Debt Ending Balance	55	55	55	55	27
Seller Note	27	27	27	27	27
Total Ending Balance	\$163	\$134	\$105	\$82	\$54

Credit Metrics

	2023E	2024E	2025E	2026E	2027E
Debt / EBITDA	5.8x	4.7x	3.8x	2.9x	1.8x
EBITDA / Interest Expense	3.1x	3.7x	4.4x	5.6x	9.4x

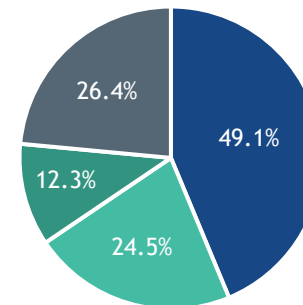
Interest Expense

Senior Debt Interest Expense	\$5	\$3	\$2	\$1	--
Subordinate Debt Interest Expense	4	4	4	4	3
Seller Note	2	2	2	2	2
Total Interest Expense	\$9	\$8	\$6	\$5	\$3

Purchase Price
\$200M

Implied
EV/EBITDA
7.3x

Transaction
Expenses
4000



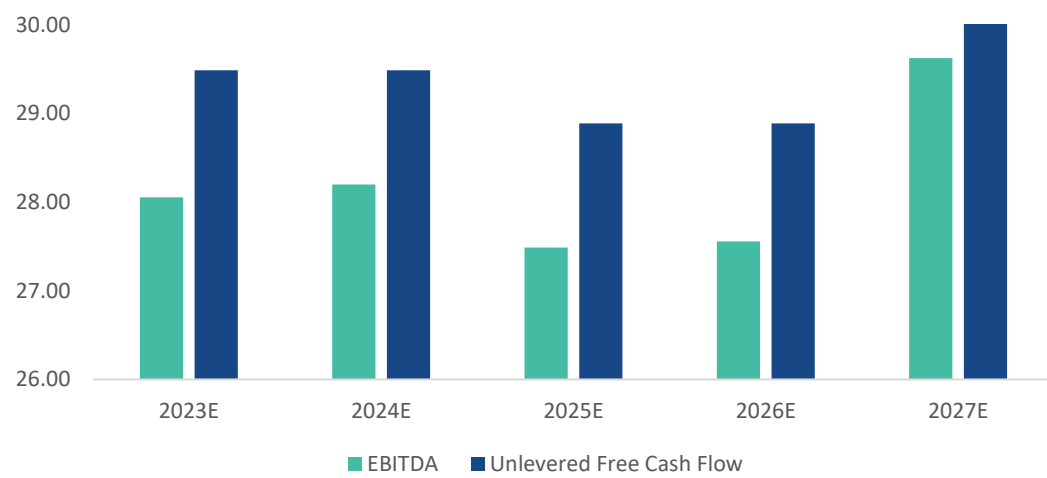
■ Senior Debt ■ Subordinated Debt ■ Seller Note ■ Sponsors Equity

Leverage Ratio

3.43x

FINANCIAL PROJECTIONS AND ASSUMPTIONS

EBITDA and Leveraged Free Cash Flow Projections



Inputs	
Risk Free Rate	4.25%
Yield-to-Maturity of Debt	6.15%
Equity Risk Premium	4.77%
Beta	1.22
Corporate Tax Rate	25.0%
Common Shares	53.5
Market Value of Debt	\$9

Gordon Growth

WACC	Growth Rate				
	1.0%	1.5%	2.0%	2.5%	3.0%
8.75%	378.0	396.1	416.9	441.0	469.3
9.00%	366.1	382.9	402.0	424.2	450.0
9.25%	355.0	370.5	388.2	408.6	432.1
9.50%	344.5	358.9	375.3	394.1	415.7
9.75%	334.6	348.0	363.3	380.6	400.4

EBITDA Exit Multiple

WACC	EBITDA				
	7.10x	7.20x	7.30x	7.40x	7.50x
8.75%	253.4	251.5	251.5	253.4	257.3
9.00%	251.1	249.1	249.1	251.1	254.9
9.25%	248.8	246.9	246.9	248.8	252.6
9.50%	246.5	244.6	244.6	246.5	250.3
9.75%	244.3	242.4	242.4	244.3	248.0

RETURN ANALYSIS

Conservative Case

- Acquire full company
- Operate existing segments
- Maintain long-term ownership
- Exit in 5+ years

IRR: 25%
MOIC: 3.1x

Base Case

- Acquire full company
- Improve operations
- Strategic cap-ex
- Exit after stabilization

IRR: 30%
MOIC: 3.7x

Value Creation Case

- Acquire full company
- Acquire valuable add-ons within South
- Centralize operations and management
- Land long-term contracts with large clients

IRR: 35%
MOIC: 4.5x

Upside Case

- Acquire full company
- Acquire valuable add-ons within South
- Centralize operations and management
- Renegotiate terms with Suppliers
- Exit optimized IRR

IRR: 40%
MOIC: 5.0x

Entry Multiple	Exit Multiple								
	6.9x	7.0x	7.1x	7.2x	7.3x	7.4x	7.5x	7.6x	7.7x
6.9x	34.2%	34.6%	35.0%	35.4%	35.8%	36.2%	36.6%	37.0%	37.3%
7.0x	32.6%	33.0%	33.4%	33.8%	34.2%	34.6%	34.9%	35.3%	35.7%
7.1x	31.1%	31.5%	31.9%	32.3%	32.6%	33.0%	33.4%	33.8%	34.1%
7.2x	29.7%	30.0%	30.4%	30.8%	31.2%	31.6%	32.0%	32.3%	32.7%
7.3x	28.3%	28.7%	29.1%	29.5%	29.9%	30.2%	30.6%	31.0%	31.3%
7.4x	27.1%	27.5%	27.8%	28.2%	28.6%	29.0%	29.3%	29.7%	30.0%
7.5x	25.9%	26.3%	26.7%	27.0%	27.4%	27.8%	28.1%	28.5%	28.8%
7.6x	24.8%	25.1%	25.5%	25.9%	26.3%	26.6%	27.0%	27.3%	27.7%
7.7x	23.7%	24.1%	24.5%	24.8%	25.2%	25.5%	25.9%	26.3%	26.6%

Risks & Mitigations

KEY RISKS AND MITIGANTS

	Risks	Prob.	Severity	Mitigants
1	Management / Key-Man Dependency Leadership team averages 37+ years tenure with limited succession planning; departure of key executives post-close could disrupt operations.	High	High	Management Transition Plan Transition senior leadership to advisory roles; retain 1-2 key operators; hire professional CEO/CFO; implement centralized structure.
2	Labor Shortage & Skilled Trades Gap Ongoing skilled trades shortage in the Southeast could constrain growth, increase labor costs, and limit ability to execute large-scale projects.	Med	High	Apprenticeship & Retention Programs Invest in apprenticeship pipelines, competitive compensation structures, and cross-divisional labor sharing post-centralization.
3	Economic Slowdown & Cyclicalilty A broader macro downturn could reduce new construction starts and defer capital projects, pressuring revenue in project-based business lines.	Med	Med	Recurring Revenue Cushion 78% service/retrofit/replacement revenue is non-discretionary and recession-resistant; maintenance contracts provide baseline cash flow.
4	Customer Concentration Risk While diversified, individual divisions carry customers representing up to 15% of segment revenue, creating moderate concentration exposure.	Low	Med	Diversified Customer Base HVAC & Plumbing has 61 customers >\$100K; Mech & Plumbing has 90+ active accounts; cross-selling post-centralization broadens base.
5	Integration & Centralization Execution Consolidating four independently operated divisions under a unified leadership model carries execution risk, culture friction, and potential short-term disruption.	Med	Med	Phased Integration Roadmap Stage centralization of back-office first (Finance, HR, Procurement), then operations; target \$3M-\$4M in synergies over 24-36 months.
6	M&A Execution & Integration Risk Add-on acquisitions of regional ME&P firms carry overpayment risk, cultural misalignment, and potential distraction from core operations.	Med	Med	Disciplined Acquisition Criteria Target companies with >\$1M revenue, Southern focus, industrial/infrastructure specialization; leverage existing platform capabilities.
7	Policy & Infrastructure Funding Shifts Changes to federal infrastructure spending, IRA incentives, or EV/reshoring subsidies could reduce project pipeline tailwinds underpinning the thesis.	Low	Med	Diversified End-Market Exposure Revenue spread across healthcare, education, government, data centers, and industrial limits dependency on any single policy driver.
8	Shifts in Safety Regulations Changes in safety regulations or jobsite restrictions could increase costs, delay projects, and create compliance risk across MEP operations.	Med	Med	Centralized Compliance Branch Establish an in-house compliance team to monitor rules, enforce standards, and reduce exposure to violations.

Appendix

INVESTMENT HIGHLIGHTS

Strong Market Position

- Full-service MP&E contractor
- 50+ year operating history
- Strong regional reputation

Recurring Revenue Model

- 78% service/retrofit/replacement
- Defensive revenue profile
- Long-term customer relationship

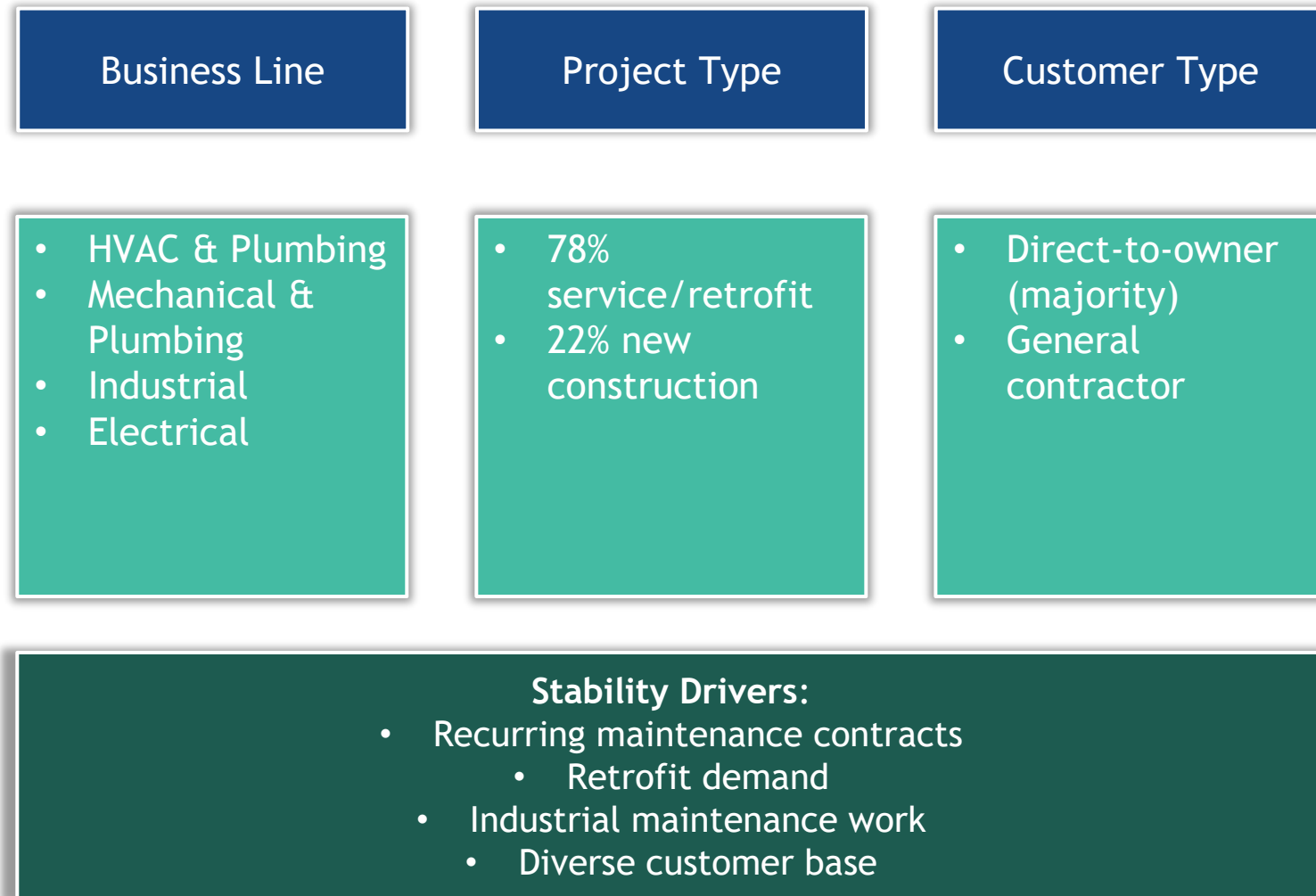
Fragmented Market Opportunity

- Highly fragmented regional competitors
- Opportunity for consolidation
- Scalable platform growth

Operational Improvement Opportunity

- Centralization of leadership
- Cost synergies
- Margin expansion

REVENUE STABILITY



CUSTOMER CONCENTRATION AND DIVERSIFICATION

Low Customer Concentration

HVAC &
Plumbing

- Largest customer: <11% revenue
- Customers >\$100k: 61

Mechanical &
Plumbing

- 90+ active customers
- Largest customer: <15% of revenue
- Customer >\$: 49100k

Industrial
Division

- Largest customer: 8.5% of revenue
- Customers >\$100k: 6

Benefits

78%
Service/retrofit
revenue

93%
Direct-to-owner
revenue

Repeat customer
relationships
across divisions

Why This Matters

- Limited single-customer risk
- Stable recurring revenue base
- Predictable cash flows
- Attractive platform for private equity

COMPETITIVE LANDSCAPE

National Competitors



Potential Targets



Project Alpha Advantages

Full-service MP&E

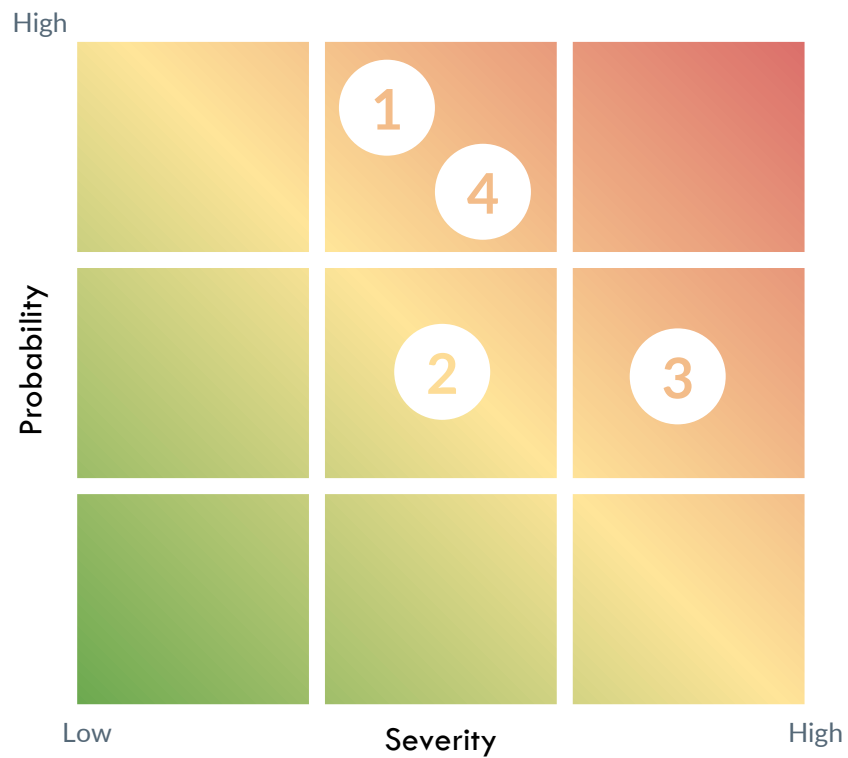
Industrial expertise

50+ years reputation

Recurring service
revenue

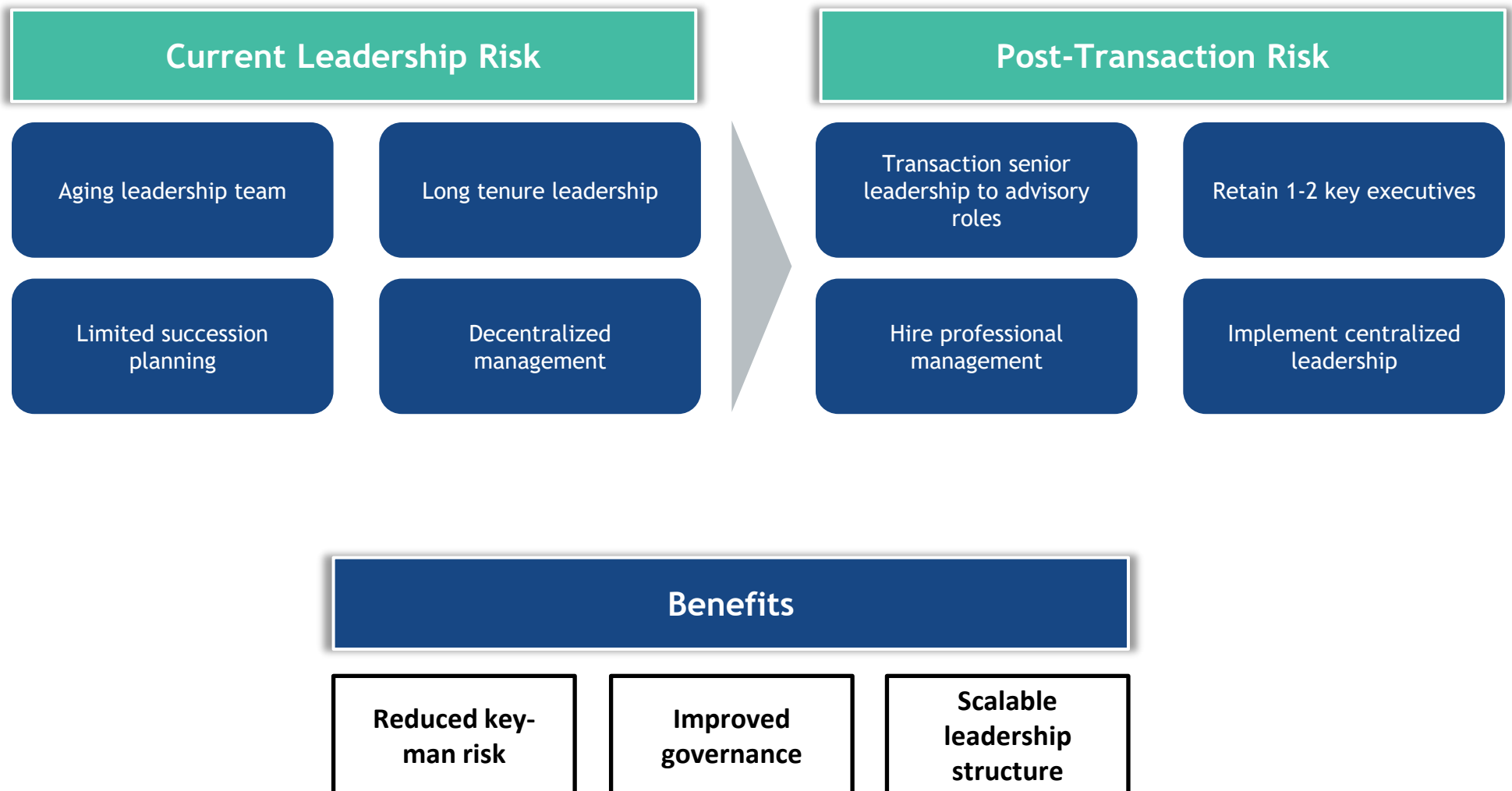
Strong Southeast
presence

RISKS AND MITIGATIONS



	Risk	Mitigation
1	Labor Shortage	Apprenticeship and retention programs
2	Customer Concentration	Diversified customer base
3	Economic Slowdown	Recurring service revenue (78%)
4	Aging Leadership	Management transition and centralization

MANAGEMENT RISK AND SUCCESSION



SYNERGY OPPORTUNITIES

Cost

- Centralized finance
- Centralized HR
- Procurement consolidation
- Reduced overhead

Revenue

- Cross-selling divisions
- Shared customers
- Geographic expansion

Operational

- Shared labor resources
- Standardized process
- Shared project management

INDUSTRIAL GROWTH OPPORTUNITY

Why Commercial & Industrial

- Large infrastructure investment
- Manufacturing reshoring
- Energy investment

Growth Drivers

- Government infrastructure spending
- Manufacturing expansion
- Energy investment

Strategic Focus

- Industrial maintenance
- Capital projects
- Shutdown work

GROWTH STRATEGY

Organic Growth

- Expand industrial division
- Increase service contracts
- Cross-sell services

M&A Growth

- Acquire smaller contractors
- Expand geography
- Add capabilities

Geographic Expansion

- Southeast focus
- High-growth markets

EXIT STRATEGY

Strategic Buyers

National



Regional



Exit Timeline

- 3-5 year hold
- Operational improvement
- Multiple expansion

Financial Buyers

Private Equity



Infrastructure Investors



Blackstone

TRANSACTIONS SUMMARY BACKUP

Deal Overview

Purchase Price
\$241M

Entry Multiple
7.3x

Debt + Equity
Structure

Value Creation

Operational
improvements

M&A growth

Margin
expansion

COMPARABLE COMPANIES

Comps Tables - AI Comps - PubCos Only

Selected Financials

			Market Data (\$)			Shares Out			Financial (\$)			Valuation (x)	
Company		Fiscal										EV/	EV/
Name	Ticker	Period	Price	Mkt Cap (M)	EV (M)	(M)	Diluted (M)	Sales (M)	EBIT (M)	EBITDA (M)	EBIT	EBITDA	
EMCOR Group	EME-US	Dec-21	789.19	35,301.4	34,190.5	44.5	45.1	16,986.4	1,577.9	1,764.4	21.67x	19.38x	
WSP Global	WSP-CA	Dec-21	158.86	21,485.7	23,056.0	134.8	131.0	13,086.1	1,269.2	1,807.0	18.17x	12.76x	
Comfort Systems USA	FIX-US	Dec-21	1,525.16	53,748.6	52,911.9	35.2	35.4	9,101.6	1,312.6	1,454.6	40.31x	36.38x	
ISS	ISS-DK	Dec-21	37.78	6,649.4	8,627.3	174.2	168.9	12,805.7	615.9	865.6	14.01x	9.97x	
AECOM	ACM-US	12/31/2021	85.89	11,233.4	12,853.2	129.3	132.0	15,956.3	1,071.1	1,256.7	12.00x	10.23x	
Jacobs Solutions	J-US	12/26/2021	131.14	15,546.6	17,578.2	117.4	119.0	12,381.8	930.0	1,167.6	18.90x	15.05x	
Average											20.84x	17.29x	
Median											18.53x	13.91x	14.83 11.13

Valuation

			P/E (x)			EV/ (x)			Financial (\$)				
Company		Fiscal	FY1										
Name	Ticker	Period	Date	EV (M)	Actual	FY1	FY2	Sales	EBIT	EBITDA	Sales (M)	EBIT (M)	EBITDA (M)
EMCOR Group	EME-US	Dec-21	Dec-22	34,190.5	27.99x	27.94x	25.05x	2.01x	21.67x	19.38x	16,986.4	1,577.9	1,764.4
WSP Global	WSP-CA	Dec-21	Dec-22	23,056.0	30.07x	19.29x	16.63x	1.76x	18.17x	12.76x	13,086.1	1,269.2	1,807.0
Comfort Systems USA	FIX-US	Dec-21	Dec-22	52,911.9	52.82x	41.67x	34.78x	5.81x	40.31x	36.38x	9,101.6	1,312.6	1,454.6
ISS	ISS-DK	Dec-21	Dec-22	8,627.3	16.06x	12.87x	11.41x	0.67x	14.01x	9.97x	12,805.7	615.9	865.6
AECOM	ACM-US	12/31/2021	Sep-22	12,853.2	19.71x	14.44x	12.93x	0.81x	12.00x	10.23x	15,956.3	1,071.1	1,256.7
Jacobs Solutions	J-US	12/26/2021	Sep-22	17,578.2	35.99x	18.38x	16.30x	1.42x	18.90x	15.05x	12,381.8	930.0	1,167.6
Average					30.44x	22.43x	19.52x	2.08x	20.84x	17.29x			
Median					29.03x	18.83x	16.47x	1.59x	18.53x	13.91x			

PRECEDENT TRANSACTIONS

Valuation Module Acquisition Comparables Analysis (\$ in Millions)

<u>Target</u>	<u>Buyer</u>	<u>Date</u>	<u>Transaction Value</u>	<u>Transaction Value LTM EBITDA</u>	Revenue	EV/Rev
The Bowers Group Inc.	Legence Corp.	Nov '25	\$475	6.6x	767	0.6x
Miller Electric Company	EMCOR Group	Jan '25	865	10.8x	805	1.1x
Rpt Alliance LLC	Bowman Consulting Group[	Dec '24	60	7.0x	40	1.5x
CEC Facilites	Sterling Infastructure	Jun '25	505	9.5x	400	1.3x
McKee Utility Contractors	MasTec	Mar-2026	276	7.3x	200	1.4x
Average			\$436	8.2x		1.2x
Median			475	7.3x		1.3x

WACC

Valuation Module WACC Analysis (\$ in Millions)

Inputs	
Risk Free Rate	4.25%
Yield-to-Maturity of Debt	6.15%
Equity Risk Premium	4.77%
Beta	1.22
Corporate Tax Rate	25.0%
Common Shares	53.5
Share Price	
Market Value of Debt	\$9

Cost of Debt Calculation	
Pre-Tax Cost of Debt	6.2%
Corporate Tax Rate	25.0%
After-Tax Cost of Debt	4.6%

Cost of Equity Calculation	
Risk Free Rate	4.3%
Equity Risk Premium	4.8%
Beta	1.22
Cost of Equity	10.1%

WACC Calculation			
	<u>Amount</u>	<u>% Total</u>	<u>Cost of Capital</u>
Market Value of Debt	\$9	15.0%	4.6%
Market Value of Equity	53	85.0%	10.1%
Enterprise Value	\$63	100.0%	9.3%

DCF

Valuation Module

Discounted Cash Flow Analysis (\$ in Millions)

		2019A	2020A	2021A	2022A	Fiscal Year Ended December 31,				
						2023E	2024E	2025E	2026E	2027E
<u>Discounted Cash Flow Analysis</u>										
Years						1.0	2.0	3.0	4.0	5.0
		0		9.20	28.97					
Revenue		118.28		101.82	125.40	168.19	\$193	\$208	\$217	\$224
Operating Expenses		103.82		93.40	113.02	142.00	167	182	192	199
Operating Income		14.46	8.42	12.38	26.19	26.19	26.19	25.39	25.39	27.39
EBITDA		15.59	9.65	13.61	27.38	28.06	28.20	27.49	27.56	29.62
Taxes @ 25.0%						7	7	6	6	7
Tax-Effectd EBIT		0.0096373		9.761728		19.19	\$20	\$20	\$19	\$19
		3.9688730		12.548245	12.768066					
		0.0095604		0.0121156	0.009838	0.0070352				
Plus: Depreciation		1.130845		1.233616	1.233714	1.183281	\$2	\$2	\$2	\$2
Change in Working Capital		19.295925		23.264798	35.813043	48.581109	10	10	10	10
			0.4007817							
Less: Capital Expenditures			1.151912	1.15201	-1.101577	-1.7801571	-1.9247163	-2.0133793	-2.0808402	-2.1483011
Unlevered Free Cash Flow						\$29	\$29	\$29	\$29	\$30
Present Value @ a Discount Rate of:		9.3%				\$27	\$25	\$22	\$20	\$20
Present Value of Projection Period										114

Perpetuity Method

Present Value of Projection Period	\$114
2023 Free Cash Flow	\$30
Perpetuity Growth Rate	2.0%
Terminal Value	\$427.38
Years	5.0
Present Value of Terminal Value	\$275
Total Enterprise Value	\$388
Implied EBITDA Multiple	14.4x

EBITDA Exit Multiple Method

Present Value of Projection Period	\$114
2023 EBITDA	\$30
EBITDA Multiple	7.3x
Terminal Value	\$216
Years	5.0
Present Value of Terminal Value	\$139
Total Enterprise Value	\$253
Implied Perpetuity Growth Rate	(4.2%)

-6.186608

\$16,437.82

679/(1+.046)

649.13958

WACC	Growth Rate				
	1.0%	1.5%	2.0%	2.5%	3.0%
8.75%	378.0	396.1	416.9	441.0	469.3
9.00%	366.1	382.9	402.0	424.2	450.0
9.25%	355.0	370.5	388.2	408.6	432.1
9.50%	344.5	358.9	375.3	394.1	415.7
9.75%	334.6	348.0	363.3	380.6	400.4

WACC	EBITDA				
	7.10x	7.20x	7.30x	7.40x	7.50x
8.75%	253.4	251.5	251.5	253.4	257.3
9.00%	251.1	249.1	249.1	251.1	254.9
9.25%	248.8	246.9	246.9	248.8	252.6
9.50%	246.5	244.6	244.6	246.5	250.3
9.75%	244.3	242.4	242.4	244.3	248.0

Leveraged Buyout Module

Leverage Buyout Analysis (\$ in Millions)

Pro Forma Financial Statements						
	2022A	2023E	2024E	2025E	2026E	2027E
Revenue	\$168	\$193	\$208	\$217	\$224	\$231
Total Expenses	142	167	182	192	199	204
EBIT	\$26	\$26	\$26	\$25	\$25	\$27
Interest Expense	0	0	0	0	0	0
Earnings Before Taxes	\$26	\$26	\$26	\$25	\$25	\$27
Taxes @ 25.0%	6	6	6	6	6	7
Net Income	\$19	\$19	\$19	\$19	\$19	\$20
Plus: Depreciation & Amortization	\$1	\$2	\$2	\$2	\$2	\$2
Change in Working Capital	10	10	10	10	10	10
Less: Capital Expenditures	(1)	(2)	(2)	(2)	(2)	(2)
Less: Scheduled Senior Debt Paydown		(11)	(9)	(7)	(5)	(3)
Cash Flow Available for Debt Paydown		\$18	\$20	\$22	\$24	\$28
Less: Discretionary Senior Debt Paydown		(18)	(20)	(22)	(22)	--
Excess Cash Flow		--	--	--	\$1	\$28
Debt Schedule						
Senior Debt Beginning Balance		\$110	\$80	\$51	\$22	--
Subordinate Debt Beginning Balance		55	55	55	55	53
Seller Note		27	27	27	27	27
Total Beginning Balance		\$192	\$162	\$133	\$104	\$80
Senior Debt Paydown		(\$29)	(\$29)	(\$29)	(\$22)	--
Subordinate Debt Paydown		--	--	--	(1)	(28)
Total Scheduled Debt Paydown		(\$29)	(\$29)	(\$29)	(\$24)	(\$28)
Senior Debt Ending Balance		\$80	\$51	\$22	--	--
Subordinate Debt Ending Balance		55	55	55	53	26
Seller Note		27	27	27	27	27
Total Ending Balance		\$162	\$133	\$104	\$80	\$53
Cash Balance						
Beginning Balance		\$16	\$16	\$16	\$16	\$17
Plus: Excess Cash Flow		--	--	--	1	28
Total Ending Balance		\$16	\$16	\$16	\$17	\$45
Interest Expense						
Senior Debt Average Debt Balance		\$95	\$66	\$37	\$11	--
Subordinate Debt Average Debt Balance		55	55	55	54	40
Seller Note		27	27	27	27	27
Average Debt Balance		\$177	\$147	\$118	\$92	\$67
Senior Debt Interest Rate		5.0%	5.0%	5.0%	5.0%	5.0%
Subordinate Debt Interest Rate		8.0%	8.0%	8.0%	8.0%	8.0%
Sellers Note		6.5%	6.5%	6.5%	6.5%	6.5%
Average Interest Rate		5.2%	5.2%	5.2%	5.3%	4.8%
Senior Debt Interest Expense		\$5	\$3	\$2	\$1	--
Subordinate Debt Interest Expense		4	4	4	4	3
Seller Note		2	2	2	2	2
Total Interest Expense		\$9	\$8	\$6	\$5	\$3

Transaction Value	
Current Share Price	
Premium	
Offer Price	
Shares Outstanding	
Purchase Price	
Plus: Debt	
Less: Cash	
Transaction Value	\$200
2022 EBITDA	\$27
Entry Multiple	7.3x
Exit Multiple	7.3x

Sources and Uses					
	% TV	xEBITDA	Amort	% Total	Amount
Senior Debt		4.0x	5%	49.8%	\$110
Subordinated Debt		2.0x		24.9%	55
Seller Note		1.0x		12.5%	27
Sponsor's Equity				25.3%	56
Total Sources				100.0%	\$220
Transaction Value				90.9%	\$200
Beginning Cash Balance				7.3%	16
Transaction Expenses	2.0%			1.8%	4
Total Uses				100.0%	\$220
Debt / EBITDA					6.0x

Investor Returns					
	2023E	2024E	2025E	2026E	2027E
Years of Investment	1.0	2.0	3.0	4.0	5.0
EBITDA	\$28	\$28	\$27	\$28	\$30
x EBITDA Multiple	7.3x	7.3x	7.3x	7.3x	7.3x
Enterprise Value	\$205	\$206	\$201	\$201	\$216
Debt	\$162	\$133	\$104	\$80	\$53
Less: Cash	(16)	(16)	(16)	(17)	(45)
Net Debt	\$146	\$117	\$88	\$63	\$8
Equity Value	\$58	\$89	\$113	\$138	\$209
Internal Rate of Return	5.1%	26.6%	26.5%	25.5%	30.3%
Cash-on-Cash Return	1.1x	1.6x	2.0x	2.5x	3.8x

Credit Metrics					
	2023E	2024E	2025E	2026E	2027E
Debt / EBITDA	5.8x	4.7x	3.8x	2.9x	1.8x
EBITDA / Interest Expense	3.1x	3.7x	4.4x	5.6x	9.4x

REGULATIONS AND COMPLIANCE

- **OSHA** sets the main worker-safety baseline for MEP jobs, including PPE, hazard communication, lockout/tagout, fall protection, and electrical safety practices.
- **NEC / NFPA 70** governs safe electrical design and installation, while **NFPA 70E** covers safe work practices around energized equipment and arc-flash risk.
- **NFPA 13** is a key reference for sprinkler system installation and fire suppression compliance.
- **IBC** and local building codes shape overall project approvals, especially for fire/life safety, ventilation, and system integration.
- **IMC** guides HVAC and mechanical system requirements, including ventilation and equipment installation.
- **IPC** or **UPC** governs plumbing design, fixture requirements, drainage, and water systems.
- Compliance is highly jurisdiction-specific, because states and municipalities often adopt different code editions or add local amendments.
- MEP firms also need strong recordkeeping for permits, inspections, certifications, training logs, and corrective actions.
- The biggest compliance risk is not just design error, but missing a local rule or failing an inspection due to weak process control.
- A dedicated in-house compliance team helps by tracking code changes, standardizing procedures, and reviewing jobs before field execution.

COMPETITIVE ADVANTAGE

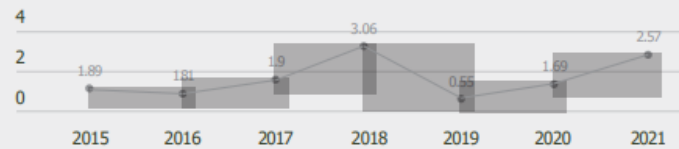
Competition

BIM Capabilities	✓	✓						✓	✓
Prefab Capabilities	✓	✓						✓	✓
Commercial Plumbing	✓	✓	✓				✓		
Commercial HVAC	✓	✓	✓				✓		
Industrial Plumbing	✓	✓	✓				✓	✓	✓
Industrial HVAC	✓	✓	✓			✓			
In-house Sheet Metal	✓	✓	✓						
Commercial Electrical	✓			✓	✓				
Industrial Electrical	✓			✓	✓				
HVAC Commercial Service	✓	✓	✓			✓	✓		
Plumbing Commercial Service	✓		✓				✓		
Industrial Piping	✓	✓					✓	✓	✓
Millwright	✓							✓	✓
Controls	✓	✓	✓	✓	✓	✓	✓		
Vacuum Services	✓						✓		
Residential Plumbing Service	✓								

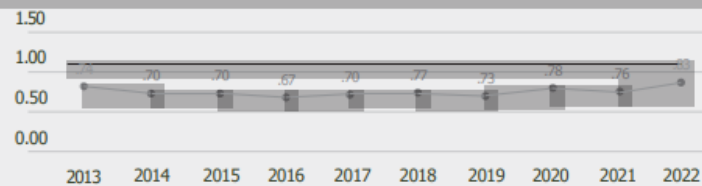
**Information obtained from company websites.*

SAFETY

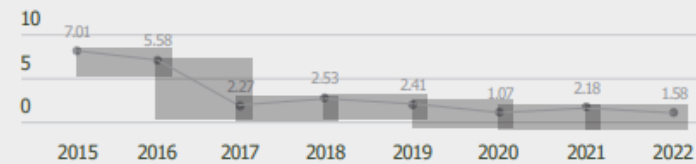
TOTAL RECORDABLE CASE INCIDENT RATE ("TRIR") RATING



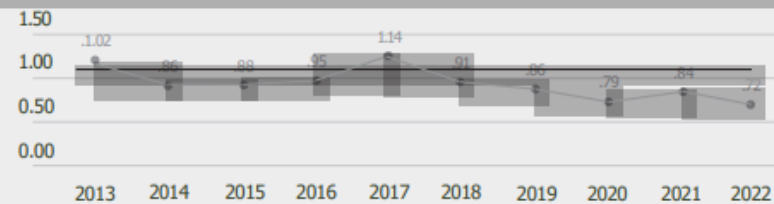
EXPERIENCE MODIFICATION RATE ("EMR") RATING



TOTAL RECORDABLE CASE INCIDENT RATE ("TRIR") RATING



EXPERIENCE MODIFICATION RATE ("EMR") RATING



Industry Average

*Lower Number Indicates Better Score

BALANCE SHEET

HISTORICAL BALANCE SHEETS - COMBINED

Historical Balance Sheets - Combined	Reviewed/ Audited As of	Reviewed/ Audited As of	Reviewed/ Audited As of	As of	Common Sized Statement			
	12/31/19	12/31/20	12/31/21	12/31/22	12/31/19	12/31/20	12/31/21	12/31/22
ASSETS								
Current Assets								
Cash and cash equivalents	\$ 1,921,361	\$ 13,037,099	\$ 14,968,749	\$ 15,670,259	5.1%	30.1%	27.3%	20.8%
Accounts receivable, net	26,293,554	21,731,353	26,003,904	40,166,353	69.5%	50.1%	47.4%	53.4%
Employee accounts receivable	108,839	119,749	151,199	95,627	0.3%	0.3%	0.3%	0.1%
Other receivables	760,079	746,767	1,864,248	1,862,870	2.0%	1.7%	3.4%	2.5%
Inventory	637,384	440,176	1,045,410	1,604,954	1.7%	1.0%	1.9%	2.1%
Intercompany/related party	(1,058,798)	(890,049)	3,243,046	5,596,999	-2.8%	-2.1%	5.9%	7.4%
Contract assets	2,315,063	1,651,845	590,014	1,861,280	6.1%	3.8%	1.1%	2.5%
Prepaid expenses	565,484	431,067	307,287	374,467	1.5%	1.0%	0.6%	0.5%
Total Current Assets	31,542,966	37,268,007	48,173,856	67,232,808	83.3%	85.9%	87.7%	89.5%
Net Property and Equipment	4,058,744	3,966,217	4,715,016	6,017,567	10.7%	9.1%	8.6%	8.0%
Total Other Assets	2,251,208	2,137,796	2,024,382	1,910,970	5.9%	4.9%	3.7%	2.5%
TOTAL ASSETS	\$ 37,852,918	\$ 43,372,021	\$ 54,913,254	\$ 75,161,345	100.0%	100.0%	100.0%	100.0%
LIABILITIES AND STOCKHOLDERS' EQUITY								
Current Liabilities								
Accounts payable	\$ 7,497,442	\$ 5,504,694	\$ 5,610,322	\$ 9,238,307	19.8%	12.7%	10.2%	12.3%
Accrued and withheld expenses	595,287	725,880	778,841	701,434	1.6%	1.7%	1.4%	0.9%
Current portion of long-term debt	224,676	200,545	42,957	46,038	0.6%	0.5%	0.1%	0.1%
Notes payable - PPP	-	4,416,289	1,968,110	-	0.0%	10.2%	3.6%	0.0%
Contract liabilities	3,929,636	3,155,801	3,960,584	8,665,919	10.4%	7.3%	7.2%	11.5%
Total Current Liabilities	12,247,041	14,003,209	12,360,813	18,651,699	32.4%	32.3%	22.5%	24.8%
Total Non-Current Liabilities	4,494,312	4,373,199	3,113,695	3,027,091	11.9%	10.1%	5.7%	4.0%
Total Liabilities	16,741,353	18,376,408	15,474,508	21,678,789	44.2%	42.4%	28.2%	28.8%
Total Stockholders' Equity	21,111,564	24,995,612	39,438,746	53,482,556	55.8%	57.6%	71.8%	71.2%
TOTAL LIABILITIES AND STOCKHOLDERS' EQUITY	\$ 37,852,918	\$ 43,372,021	\$ 54,913,254	\$ 75,161,345	100.0%	100.0%	100.0%	100.0%

*Historical PPE amounts do not include approximately \$5 million of automobiles and equipment that are held in related entities but will be included as part of the transaction.

INCOME STATEMENT

HISTORICAL INCOME STATEMENTS - COMBINED

Historical Income Statements - Combined	Reviewed/ Audited Year Ended 12/31/19	Reviewed/ Audited Year Ended 12/31/20	Reviewed/ Audited Year Ended 12/31/21	Year Ended 12/31/22	Common Sized Statement			
					12/31/19	12/31/20	12/31/21	12/31/22
Sales	\$ 118,284,873	\$ 101,820,738	\$ 125,403,431	\$ 168,193,697	100.0%	100.0%	100.0%	100.0%
Cost of sales	89,527,461	78,440,075	93,979,883	121,710,173	75.7%	77.0%	74.9%	72.4%
Gross profit	28,757,412	23,380,663	31,423,548	46,483,524	24.3%	23.0%	25.1%	27.6%
Selling, general and administrative expenses	13,323,361	13,916,615	18,002,047	19,307,678	11.3%	13.7%	14.4%	11.5%
Depreciation and amortization	972,849	1,043,196	1,043,095	981,769	0.8%	1.0%	0.8%	0.6%
Income from operations	14,461,202	8,420,852	12,378,406	26,194,078	12.2%	8.3%	9.9%	15.6%
Interest (income) / expense	72,179	36,995	33,748	(100,854)	0.1%	0.0%	0.0%	-0.1%
Other (income) / expense	(200,552)	(1,602,460)	(8,019,520)	(2,350,388)	-0.2%	-1.6%	-6.4%	-1.4%
(Gain) / loss on sale of assets	(48,095)	(38,615)	(38,313)	1,200	0.0%	0.0%	0.0%	0.0%
Net income	14,637,670	10,024,932	20,402,491	28,644,119	12.4%	9.8%	16.3%	17.0%
EBITDA Calculation:								
Interest (income) / expense	72,179	36,995	33,748	(100,854)	0.1%	0.0%	0.0%	-0.1%
Depreciation and amortization	1,130,845	1,233,616	1,233,714	1,183,281	1.0%	1.2%	1.0%	0.7%
Reported EBITDA	\$ 15,840,694	\$ 11,295,542	\$ 21,669,954	\$ 29,726,547	13.4%	11.1%	17.3%	17.7%
EBITDA Adjustments								
(Gain) / loss on sale of assets	(48,095)	(38,615)	(38,313)	1,200	0.0%	0.0%	0.0%	0.0%
Paycheck protection program forgiveness/ERC	-	(1,437,142)	(7,814,173)	(1,968,110)	0.0%	-1.4%	-6.2%	-1.2%
Related-party rent	722,409	771,478	841,003	921,432	0.6%	0.8%	0.7%	0.5%
Non-recurring transactions	-	-	(205,000)	-	0.0%	0.0%	-0.2%	0.0%
Non-recurring professional services	-	-	72,604	-	0.0%	0.0%	0.1%	0.0%
Administrative fees	525,798	501,224	1,144,449	159,039	0.4%	0.5%	0.9%	0.1%
Officer salary adjustment	(102,294)	(102,294)	(102,294)	(102,294)	-0.1%	-0.1%	-0.1%	-0.1%
Total EBITDA Adjustments	1,097,817	(305,350)	(6,101,725)	(988,734)	0.9%	-0.3%	-4.9%	-0.6%
Adjusted EBITDA	\$ 16,938,511	\$ 10,990,193	\$ 15,568,229	\$ 28,737,814	14.3%	10.8%	12.4%	17.1%